

## Weighted Average Cost of Capital

All figures in Crores unless stated

| Name                       | Debt     | Equity    | Average Tax Rate <sup>1</sup> | Debt/Equity | Debt/Capital | Levered Beta <sup>2</sup> | Unlevered Beta <sup>3</sup> |
|----------------------------|----------|-----------|-------------------------------|-------------|--------------|---------------------------|-----------------------------|
| Vintage Coffee & Beverages | 200.23   | 302.95    | 13.20%                        | 66.09%      | 39.79%       | 0.82                      | 0.55                        |
| Nestlé India Ltd.          | 1,166.85 | 3,249.41  | 25.80%                        | 35.91%      | 26.42%       | 0.80                      | 0.63                        |
| Tata Consumer Products     | 3,477.22 | 20,673.19 | 24.21%                        | 16.82%      | 14.40%       | 1.16                      | 1.03                        |
|                            |          |           | Average                       | 21.07%      | 39.61%       | 0.93                      | 0.74                        |
|                            |          |           | Median                        | 24.21%      | 35.91%       | 0.82                      | 0.63                        |

### Risk Premium for Equity

|                           |       |
|---------------------------|-------|
| Market Risk Premium       | 4.23% |
| Average Unlevered Beta    | 0.74  |
| Levered Beta <sup>4</sup> | 0.83  |
| Equity Risk Premium       | 3.53% |

### Cost of Equity

|                      |        |
|----------------------|--------|
| Risk Free Rate       | 6.76%  |
| Equity Risk Premium  | 3.53%  |
| Country Risk Premium | 2.85%  |
| Cost of Equity       | 13.14% |

### Capital Structure

|                       |           | Current | Target  |
|-----------------------|-----------|---------|---------|
| Total Debt            | 1,812.61  | 13.16%  | 15.00%  |
| Market Capitalization | 11,962.80 | 86.84%  | 85.00%  |
| Total Capitalization  | 13,775.41 | 100.00% | 100.00% |
| Debt / Equity         |           | 15.15%  | 17.65%  |

### Cost of Debt

|                        |        |
|------------------------|--------|
| Pre-Tax Cost of Debt   | 7.25%  |
| Tax Rate               | 25.17% |
| After-Tax Cost of Debt | 5.43%  |

### Weighted Average Cost of Capital

|                                  | Weight | Cost   |
|----------------------------------|--------|--------|
| Debt Capital                     | 15.00% | 5.43%  |
| Equity Capital                   | 85.00% | 13.14% |
| Weighted Average Cost of Capital |        | 11.98% |

Tax Rate is a 5-Year Average. <sup>(1)</sup>

Levered beta is based on 5-year monthly data. <sup>(2)</sup>

Unlevered Beta = Levered Beta / (1 + (1 - Tax Rate) × Debt-to-Equity) <sup>(3)</sup>

Levered Beta = Unlevered Beta × (1 + (1 - Tax rate) × (Debt-to-Equity)) <sup>(4)</sup>